



AFRICA NAZARENE

U N I V E R S I T Y

ASSESSING THE INADEQUACY OF CROSS-BORDER DATA TRANSFER REGULATORY FRAMEWORK IN KENYA

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Declaration

I, Decra Kerubo, with this, declare that the work on which this research report is based is my original work (except where acknowledgments indicate otherwise) and that neither the whole work nor any part of it has been, is being, or is to be submitted for another degree in this or any other university.

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Date: 8th November 2023

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Abstract

With Kenya's growing digital economy, cross-border data transfers are increasingly crucial and inevitable. The Data Protection Act of Kenya (DPA) recognizes this by outlining provisions for ensuring adequate data protection during international transfers of data. However, assessing the adequacy of foreign data protection regimes remains a complex challenge. This paper delves into the complexities of adequacy assessments under the Kenyan DPA. It analyzes the current process in the transfer of data from Kenya regionally and internationally, highlighting the limitations of relying solely on existing adequacy decisions by other jurisdictions and issuing a comprehensive comparative analysis. The paper also discusses potential solutions, including the development of specific criteria for adequacy assessments within the Kenyan context. By examining relevant regulations, reports, and international agreements, the paper aims to stimulate discussions and propose concrete steps towards ensuring robust data protection standards for Kenyan users in the context of international data flows.

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List of Abbreviations

- | | |
|---------|------------------------------------|
| 1. EU | European Union |
| 2. EAC | East African Community |
| 3. GDPR | General Data Protection Regulation |
| 4. DPA | Data Protection Act |

List of Statutes

Domestic

1. The Constitution of Kenya 2010
2. The Data Protection Act 2019
3. Access to Information Act 2016
4. Competition Act No. 12 of 2010
5. Computer Misuse and Cyber Crimes Act 2018

Foreign

1. European Union's General Data Protection Regulation (GDPR)
2. California Consumer Privacy Act (CCPA)

List of Cases

6. NT1 and NT2 v Google
7. Kenyan High Court. MCSK v Music Publishers Association of Kenya & another [2020] eKLR
8. Re Equifax
9. Re Marriott Int'l, Inc.
10. U.S. government v Edward Snowden

Chapter One: Project Proposal

1.1 Introduction and Background of the study

Data stands at the core of the economy making it susceptible to misuse and exploitation. In a recent report from the International Association of Privacy Professionals about 11.5M customers' data has ended up in the black market¹. This forms a clear indication of exploitation of data and challenges the current safeguards of the data protection regulation in Kenyan law. Data controllers in Kenya are mostly mobile operators, service providers, financial institutions, government institutions, global softwares among other programs². These data collected from subjects can be transferred out of Kenya for several reasons i.e companies use foreign cloud storage for cost-effectiveness and scalability; marketing data is sent to third-party analytics for research and advertising; financial institutions share data internationally for fraud prevention, law enforcement engages in data transfer for crime investigation and legal compliance; universities collaborate internationally, requiring data sharing for research and development projects among other channels³. Taking a closer look at mobile operators for instance, Therefore, it is quite inevitable to restrict data transfers internationally as most services rely on it interoperational. If the data flow is not concretely regulated, it causes significant damage to individuals and organizations.

The presence of a data subject's information in the wrong hands such as the black market can lead to severe consequences with far-reaching implications. Identity theft becomes a significant risk, as cybercriminals exploit the compromised data to impersonate individuals, engaging in fraudulent activities such as unauthorized account openings and credit card applications. Financial losses may ensue, impacting the victim's economic stability⁴. The invasion of privacy is a distressing outcome, exposing sensitive details and personal habits.

¹ "Safaricom Data Breach Affects 11.5M Customers," n.d., <https://iapp.org/news/a/safaricom-data-breach-affected-11-5m-customers/>.

² "6. The Role and Responsibilities of the Data Controller | Rulebook," en.adgm.thomsonreuters.com, accessed February 15, 2024, <https://en.adgm.thomsonreuters.com/rulebook/6-role-and-responsibilities-data-controller#:~:text=6.1%20The%20Data%20Controller%20determines.>

³ "Navigating the Crossroads: The Challenges of Cross-Border Data Flows under Domestic Laws in Africa - Centre for Intellectual Property and Information Technology Law," November 23, 2023, <https://cipit.strathmore.edu/navigating-the-crossroads-the-challenges-of-cross-border-data-flows-under-domestic-laws-in-africa/>.

⁴ "Uncovering the Dark Side of the Digital World: The Black Market for Identity Data - Sanction Scanner," sanctionscanner.com, n.d., <https://sanctionscanner.com/blog/the-digital-black-market-for-identity-data-542>.

Targeted scams and phishing attacks leveraging stolen data can further compound the risks, potentially leading to additional financial losses or identity-related issues. Employment prospects and personal reputation may suffer, as compromised information may be used to create fake profiles or engage in criminal activities. The legal consequences of identity misuse can be substantial, requiring victims to navigate a complex and challenging process of redemption. These consequences do not stop there, they extend to entities, herein referred to as data controllers who collect these data. These entities also go through a rough patch in the legal implications accruing from such incidents. Eventually, the outcome is massive interference with personal rights and a safe digital data economy.

Cross-border data transfers refers to the transfer of data to another jurisdiction separate from the jurisdiction of the data subjects⁵. Cross-border personal data transfers have significantly increased as a result of the digital economy's explosive rise. Concerns have been expressed over the possibility of personal data being misused and abused, especially when it is transferred to nations with laxer data protection laws. Globally, a number of data protection laws, such as the General Data Protection Regulation (GDPR) and its successor, the Data Protection Directive (EU Directive 95/46/EC), have been put into place to address these concerns. The cross-border transfer of data is regulated by the Data Protection Act of Kenya, which, to the effect of international data transfers, mandates explicit consent in the initial phases of data collection from data subjects and limits the transfer of this data to countries that have adequate or commensurate data protection safeguards⁶. The Data Protection Act, 2019 establishes guidelines for international data transfers. According to the act, transferring personal data outside Kenya is permissible if the data controller or processor provides evidence of appropriate safeguards for the security and protection of the data, especially in jurisdictions with equivalent data protection laws. Such transfers are deemed necessary for reasons such as contractual performance, public interest, legal claims, protection of vital interests, or compelling legitimate interests pursued by the data controller or processor. Additionally, the processing of sensitive personal data outside Kenya requires obtaining the data subject's consent and confirmation of appropriate safeguards. The Data Commissioner holds the authority to request individuals transferring data internationally to demonstrate and verify compliance with the provisions of the Act. While these provisions indicate a sense of responsibility imposed by the law, it does not form a blanket intervention as it is only an implication given its absence of an explicit description of 'countries with adequate safeguards'. Consequently the disparity in the data control framework across countries and regions obstructs a clear assessment and assurance into a safeguarded data transfer, putting data subjects at a risk of data exploitation. Nigeria for instance operates under data localization to facilitate data protection; wherein personal data must be stored in Nigeria,

⁵ "Cross-Border/International Data Transfers," Practical Law, accessed February 15, 2024, [https://uk.practicallaw.thomsonreuters.com/w-014-8174?transitionType=Default&contextData=\(sc.Default\)#:~:text=The%20transfer%20of%20personal%20data](https://uk.practicallaw.thomsonreuters.com/w-014-8174?transitionType=Default&contextData=(sc.Default)#:~:text=The%20transfer%20of%20personal%20data).

⁶ "Data Protection Act – OFFICE of the DATA PROTECTION COMMISSIONER KENYA," n.d., <https://www.odpc.go.ke/dpa-act/>.

unlike Kenya where the baseline of the data protection emerges from explicit opt-in consent that imposes compliance on data controllers⁷. Since the two countries do not operate commensurately, it becomes difficult to assess and conclude whether the Nigerian jurisdiction is of adequacy as implied by the act. Such a situation could potentially lead to uninformed transfers or limit transfers which would eventually affect the data economy on which most high level technologies rely on. For both the safety of the data subjects and the sustainability of global companies and the data economy, it is vital to have a definite rather than a speculative framework of adequate systems.

1.2 Problem Statement

The Data Protection Act of Kenya embodies a speculative nature of provisions regarding adequacy assessments during cross-border transfer of data. Section 48 of the Data Protection Act of Kenya which is the guiding instrument for data protection provides for data to be transferred to countries with commensurate or equal protection safeguards but does not issue the metrics to assess this. Consequently, a critical room for misinterpretation and misapplication is created creating threats to the safety of data from Kenyan data subjects. Furthermore, the failure to fulfill this comprehensively, has resulted in uninformed data transfer decisions which imperil data subjects in a variety of ways such as their data being exploited in the black market⁸. This necessitates an intervention in the law to embody a definitive approach through a comprehensive assessment framework towards the evaluation of countries with adequate data protection mechanisms, in order to sustain the data security of data subjects and create a sustainable data economy.

1.3 Hypothesis

There is a pressing need for legal intervention within the Kenyan Data Protection Laws to establish a definitive approach in the assessment framework for countries with adequate data

⁷ “Navigating the Crossroads: The Challenges of Cross-Border Data Flows under Domestic Laws in Africa - Centre for Intellectual Property and Information Technology Law,” November 23, 2023, <https://cipit.strathmore.edu/navigating-the-crossroads-the-challenges-of-cross-border-data-flows-under-domestic-laws-in-africa/>.

⁸ “The Foreign Applicability of the Kenyan Data Protection Act,” [www.cliffedekkerhofmeyr.com](https://www.cliffedekkerhofmeyr.com/en/news/publications/2021/TMT/technology-media-telecommunications-alert-6-september-The-foreign-applicability-of-the-Kenyan-Data-Protection-Act-.html), accessed February 18, 2024, <https://www.cliffedekkerhofmeyr.com/en/news/publications/2021/TMT/technology-media-telecommunications-alert-6-september-The-foreign-applicability-of-the-Kenyan-Data-Protection-Act-.html>.

protection mechanisms; in pursuit of optimal data protection during cross-border transfer of data pertaining to Kenyan citizens.

1.4 Objectives

Main Objective

To assess and propose legal interventions within the Kenyan Data Protection Laws aimed at establishing a definitive approach in the assessment framework for countries with adequate data protection mechanisms.

Specific Objectives

1) To evaluate the DPP's international data transfer provisions, such as:

- The standards for judging whether a recipient nation's data protection laws are sufficient.
- The specifications for businesses sending personal information overseas.
- The specifications that apply to businesses sending personal data overseas.
- The function of data protection authorities in regulating cross-border data transfers.

2) To evaluate how well the current measures for securing personal data transferred overseas are, like:

- Standard terms in contracts and additional methods of transfer
- Data controllers put organizational and technical controls in place
- The DPP offers enforcement mechanisms

3) To determine any potential Gaps and difficulties in the existing regulatory framework, such as:

- Ambiguities in the application of sufficiency evaluations.
- Limited ability to enforce laws effectively.
- Incompatibility with international data protection regulations.

4) To find best practices and possible areas for improvement by contrasting the DPP's adequacy assessment framework with those of other pertinent jurisdictions, such as the General Data Protection Regulation (GDPR).

5) To develop suggestions for improving the DPP's international data transfer regulations and enforcement systems, such as:

- Defining the adequate assessment standards.
- boosting the safety and transfer systems' efficacy.
- bolstering the authority of data protection authorities.
- encouraging compliance with global data protection regulations.

1.5 Research Questions

1. What are the emerging conceptual issues regarding data protection globally and in Kenya
2. What is the existing data protection regime in Kenya
3. What are the gaps and challenges arising from the existing legal regime?
4. Overview of global based practices in data protection/comparative analysis of global based practices
5. Reforms and recommendations
6. Conclusion

1.6 Methodology

The study will utilize information obtained from secondary sources, drawing upon verified research conducted and accessible online.

1.7 Significance of the study

The results of this study will advance knowledge about the suitability of international data transfers covered by the DPP. It will offer priceless insights for:

- Policymakers: The results can help Kenyan lawmakers create and amend data protection laws to close known gaps and overcome obstacles.
- Data controllers: By being clear about their duties and responsibilities when sending personal data overseas, businesses and organizations can ensure that the DPP is followed.
- Data subjects: When personal data is transferred internationally, people will learn more about their rights and the protections in place for them.
- Academics and researchers: By providing important information for future research and development in this area, the study will add to the current discussion on data protection and international data transfers.

1.8 Project Scope

- The primary goal of this study is to assess how well international data transfers operate under Kenya's Data Protection Act.
- The research will be centered around the provisions of the Data Protection Act that serves as the blueprint for Data Protection in Kenya.
- The research will carry out comparisons for national provisions towards the adequacy provision between Kenya's Data Protection Act and the EU's GDPR.
- The study will utilize information obtained from secondary sources. Empirical data collection methods like surveys and interviews with people whose data is transferred internationally won't be used.

1.9 Justification of the study

The DPP makes it imperative to assess the sufficiency of international data transfers for a number of reasons:

- Safeguarding individual rights: transfers of personal data may give rise to serious privacy issues. In spite of data transfers overseas, this study seeks to guarantee that people's fundamental rights to privacy and data protection are sufficiently protected under the DPP.
- Encouraging responsible data handling practices: The study can help organizations that transfer personal data internationally by assessing the efficacy of current safeguards.
- Improving regulatory clarity: The study can offer insightful information that will help make the DPP's rules and requirements about cross-border data transfers more understandable and easier to apply.

1.10 Literature Review

In today's interconnected world, cross-border data flows have become essential for businesses and international companies to operate efficiently and effectively. Cross-border data transfers refers to the transfer of data to another jurisdiction separate from the jurisdiction of the data subjects⁹. Cross-border personal data transfers have significantly increased as a result of the

⁹ “Cross-Border/International Data Transfers,” Practical Law, accessed February 15, 2024, [https://uk.practicallaw.thomsonreuters.com/w-014-8174?transitionType=Default&contextData=\(sc.Default\)#:~:text=The%20transfer%20of%20personal%20data](https://uk.practicallaw.thomsonreuters.com/w-014-8174?transitionType=Default&contextData=(sc.Default)#:~:text=The%20transfer%20of%20personal%20data).

digital economy's explosive rise. In both Kenya and globally, the concept of data ownership and control is increasingly gaining prominence as individuals recognize the value of their personal data. There's a growing concern about who owns the data collected by various entities, particularly companies, and how individuals can assert control over their own data. In Kenya, the discourse around data ownership and control reflects the broader global conversation. As technology becomes more integrated into daily life, questions arise regarding the rights individuals should have over the data generated about them. The Data Protection Act of 2019 in Kenya attempts to address some of these issues by providing a legal framework for data protection. In Kenya, the enactment of the Data Protection Act, 2019, marked a significant step towards establishing a legal framework for safeguarding personal data. This legislation aims to protect individuals' privacy rights and regulate the processing of personal information by both public and private entities. However, concerns have been raised regarding the enforcement of the Act and its adequacy in addressing emerging challenges in the rapidly evolving digital landscape. Globally, data protection laws vary across jurisdictions, leading to a patchwork of regulations. For instance, the European Union's General Data Protection Regulation (GDPR) and the California Consumer Privacy Act (CCPA) in the United States are notable examples. While these laws share common objectives of enhancing individuals' control over their personal data and promoting transparency in data processing practices, harmonizing regulations across different regions remains a significant challenge. The proliferation of cross-border data flows further complicates this issue, highlighting the need for international cooperation and standardization in data protection efforts. The advent of AI and biometrics introduces novel complexities to data protection. Notably, the recent controversy surrounding the Worldcoin initiative illustrates the potential risks associated with biometric data collection.

In Kenya, the current data protection regime, encompassing various legal frameworks, plays a crucial role in ensuring the integrity of big data technologies, combating fraud, ensuring transparency, and fostering proper record-keeping practices. Apart from the Data Protection Act 2019, the legal landscape includes provisions outlined in the Constitution of Kenya 2010, such as Articles 31, 33, and 35, which establish rights to privacy, access to information, and freedom of expression, thereby laying the groundwork for data protection legislation. Additionally, the Access to Information Act 2016 guarantees access to public information while the Competition Act No. 12 of 2010 aims to promote fair trading practices and safeguard consumer welfare by regulating competition in markets. The Computer Misuse and Cyber Crimes Act 2018 further addresses cybercrimes and computer system misuse, prohibiting unauthorized access, cyber fraud, espionage, terrorism, and dissemination of false information. Regulatory bodies, such as the Data Commissioner's office, oversee compliance with data protection laws and enforce regulations through mechanisms outlined in various regulations and guidelines developed to ensure adherence to data protection standards, registration requirements, complaints handling procedures, and enforcement mechanisms. Together, these legislative instruments form a comprehensive framework aimed at

safeguarding data privacy, promoting fair competition, combating cybercrimes, and ensuring transparency in data processing practices within Kenya's legal landscape.

1.11 Chapter Breakdown

Chapter 1: Constitutes the introduction, giving the background to the thesis, the problem statement, the research questions, the objectives, the justification, of the research, literature review, methodology and chapter breakdown of the thesis.

Chapter 2: Introduction of concepts and terminologies, introduction of concepts of data protection and its interplay in cross border transfers.

Chapter 3: Analysis of the existing data protection in Kenya and outlining other applicable provisions from the intervening legal instruments aside from the Data Protection Act.

Chapter 4: The challenges arising from unclear and undefined provisions in the legal instruments to facilitate safety of data in the international data flow system.

Chapter 5: Best practices, global regional and national best practices. Comparative study of various models: biological/medical, and, and self-identification models using international and regional best practices.

Chapter 6: Reforms that will improve the existing data protection framework to enhance data protection during cross border transfers

Chapter 7: Conclusion

Chapter Two: Emerging Conceptual Issues Regarding Data Protection

2.1 Overview of Data Protection Concepts

Data protection, in the context of preserving privacy, can be defined as the effort to limit intrusions onto an individual's privacy using information technology during processing, storage, and transfer of data. It focuses on the development of laws to prevent personal data from being misused rather than on technological measures to make systems less privacy invasive. In this respect, there are two kinds of data: personal data as it is currently understood and sensitive personal data. Sensitive personal data is defined under the Data Protection Act as personal data consisting of information as to the data subject's a racial or ethnic origin, political opinions, religious beliefs, trade union membership, physical or mental health or condition, sexual life, the commission of any offense or the alleged commission of any offense; the court proceedings and disposal in respect of the commission or alleged commission. Without the limitation of access to data of this type there are implications on different fields. Examples of this are doctors having to disclose patients' records and solicitors having to disclose their clients' files. In the future, this may also affect research projects involving human subjects and even journalistic investigations. This is a stark contrast to the face of data protection laws today, which have allowed for numerous abuses. A recent and extremely pertinent example being the mass surveillance conducted by US and UK intelligence agencies as exposed by Edward Snowden¹⁰. Despite these developments, laws pertaining to sensitive personal data should not be seen as an obstacle to public interest, as a decision from the ECJ demonstrates. In a case involving a Spanish political party, the court found that require derogations for the processing of sensitive personal data to be carefully circumscribed provisions which must apply only in so far as is strictly necessary. This would suggest that existing and future laws are not entirely taking the importance of data transfer into consideration.

Kenya's Data Protection Act, 2019 assigns distinct roles and responsibilities to data controllers, data processors, and data subjects. Data controllers, which can be businesses, government agencies, or other organizations, determine the purposes and means of processing personal data. They are often the entities directly collecting and managing this data. In contrast, data processors handle personal data on behalf of controllers, acting as third-party vendors like IT service providers or cloud computing services. The Act outlines legal obligations for both controllers and processors. Controllers must ensure they have a lawful basis for processing data, obtain consent from individuals, and implement appropriate security measures. Additionally, they are required to notify the data protection authority of any data breaches. Processors, on the other hand, can only process data based on instructions from controllers and must enter into written contracts outlining their responsibilities. They are also obligated to implement appropriate technical and organizational measures to safeguard data¹¹.

¹⁰ "PACE - Doc. 13734 (2015) - Mass Surveillance," Coe.int, 2015, <https://assembly.coe.int/nw/xml/XRef/Xref-XML2HTML-en.asp?fileid=21583&lang=en>.

¹¹ "Kenya - Data Protection Overview," DataGuidance, March 8, 2021, <https://www.dataguidance.com/notes/kenya-data-protection-overview>.

The Act empowers individuals, referred to as data subjects, with various rights regarding their personal data. These rights include accessing their data held by controllers, requesting corrections of inaccuracies, and under certain circumstances, requesting its deletion (Right to be Forgotten). Additionally, they can restrict how their data is processed, object to its use for specific purposes like marketing, and even receive their data in a format transferable to another controller. Understanding these roles and responsibilities is crucial for all parties involved to ensure compliance with the Kenyan Data Protection Act and promote a data protection environment that respects individual privacy.

2.2 Cross-Border Data Flows for Business Needs and International Companies

In today's interconnected world, cross-border data flows have become essential for businesses and international companies to operate efficiently and effectively. However, the complexities surrounding data protection standards and regulations present significant challenges both in Kenya and globally. In Kenya, the increasing globalization of businesses and the digitization of services have led to a rise in cross-border data flows. Companies operating in Kenya often need to transfer data internationally for various purposes, including global partnerships, supply chain management, and accessing cloud-based services. Ensuring the seamless transfer of data while complying with international data protection standards, such as the GDPR in the European Union, is a complex issue for Kenyan businesses. While Kenya has enacted the Data Protection Act, 2019, aligning its standards with global best practices remains an ongoing process. Challenges such as data localization requirements, differing legal frameworks across jurisdictions, and the risk of data breaches during transit necessitate robust data protection measures for Kenyan companies engaging in cross-border data transfers. Cross-border data flows are not unique to Kenya but are integral to global trade, collaboration, and innovation. International companies rely on the seamless transfer of data to operate across multiple jurisdictions, access global markets, and leverage data-driven insights for decision-making. However, the global landscape of data protection presents challenges regarding data sovereignty, jurisdictional conflicts, and privacy concerns. Divergent regulatory frameworks, such as the GDPR, CCPA, and similar laws in other jurisdictions, complicate cross-border data transfers and compliance efforts for multinational corporations¹². Establishing mechanisms for data transfer that uphold privacy and security standards while navigating legal and regulatory complexities is a priority for policymakers worldwide.

¹² Malcolm Kijirah and Elaine Thuo, “POLICY BRIEF 03 DATA PROTECTION and DATA LOCALISATION in KENYA: POTENTIAL ECONOMIC IMPACT and EFFECT on KENYA’S COMMITMENTS in VARIOUS REGIONAL TREATY FRAMEWORKS,” n.d., https://www.wits.ac.za/media/wits-university/faculties-and-schools/commerce-law-and-management/research-entities/mandela-institute/documents/research-publications/800419%20PB3%20Data%20Protection%20and%20Localisation%20in%20Kenya_REV%20Dec2021.pdf.

Initiatives such as the EU-US Privacy Shield and Standard Contractual Clauses aim to facilitate cross-border data flows while ensuring adequate data protection safeguards. Additionally, emerging technologies like encryption, secure multiparty computation, and blockchain offer potential solutions to enhance the security and privacy of cross-border data transfers¹³. Cross-border data flows are indispensable for business needs and international companies in the digital age. However, ensuring the seamless transfer of data while upholding privacy, security, and regulatory compliance standards remains a complex and evolving challenge both in Kenya and globally.

2.3 Legal Frameworks and Regulations

In Kenya, the enactment of the Data Protection Act, 2019, marked a significant step towards establishing a legal framework for safeguarding personal data. This legislation aims to protect individuals' privacy rights and regulate the processing of personal information by both public and private entities. However, concerns have been raised regarding the enforcement of the Act and its adequacy in addressing emerging challenges in the rapidly evolving digital landscape. Globally, data protection laws vary across jurisdictions, leading to a patchwork of regulations. For instance, the European Union's General Data Protection Regulation (GDPR) and the California Consumer Privacy Act (CCPA) in the United States are notable examples. While these laws share common objectives of enhancing individuals' control over their personal data and promoting transparency in data processing practices, harmonizing regulations across different regions remains a significant challenge. The proliferation of cross-border data flows further complicates this issue, highlighting the need for international cooperation and standardization in data protection efforts.

2.4 Data Ownership and Control

In both Kenya and globally, the concept of data ownership and control is increasingly gaining prominence as individuals recognize the value of their personal data. There's a growing concern about who owns the data collected by various entities, particularly companies, and how individuals can assert control over their own data. In Kenya, the discourse around data ownership and control reflects the broader global conversation. As technology becomes more integrated into daily life, questions arise regarding the rights individuals should have over the data generated about them. The Data Protection Act of 2019 in Kenya attempts to address

¹³ "Press Corner," European Commission - European Commission, n.d., https://ec.europa.eu/commission/presscorner/detail/en/ip_23_3721.

some of these issues by providing a legal framework for data protection. However, the act's efficacy in safeguarding individuals' rights to data ownership and control remains a subject of debate, particularly concerning enforcement mechanisms and the scope of protection it offers. Globally, similar concerns reverberate, fueling debates over whether individuals should possess property rights over their data. This debate intersects with discussions on privacy and autonomy, as the extent to which individuals can control their data directly impacts their ability to maintain privacy and exercise autonomy over their personal information. The European Union's General Data Protection Regulation (GDPR) and the California Consumer Privacy Act (CCPA) are notable examples of legislative efforts aimed at enhancing individuals' control over their data, albeit within specific jurisdictions¹⁴.

2.5 The Right to be Forgotten

In addition to concerns surrounding data ownership and control, the "Right to be Forgotten" has emerged as a significant concept within data protection frameworks globally. This right empowers individuals to request the removal or erasure of their personal data from search engine results and potentially other online platforms. Enshrined in the European Union's General Data Protection Regulation (GDPR), the Right to be Forgotten reflects a growing public desire for control over one's digital footprint. Under this provision, individuals have the ability to request the deletion of personal data if it is no longer necessary for the purpose for which it was collected, if consent is withdrawn, or if the data processing was unlawful. This right acknowledges the evolving nature of personal data in the digital age and seeks to balance individual privacy rights with the public's interest in accessing information¹⁵. It recognizes that outdated or inaccurate information circulating online can have lasting consequences for individuals, affecting their reputation, employment prospects, and personal well-being. The implementation of the Right to be Forgotten has posed challenges for search engine providers and other online platforms, requiring them to develop mechanisms for handling removal requests while also considering the broader implications for freedom of expression and access to information. Balancing these competing interests is complex and often requires careful consideration of legal, ethical, and technological factors. While the Right to be Forgotten is primarily associated with the GDPR in the European Union, similar principles have been incorporated into data protection laws and regulations in other

¹⁴ Florent Thouvenin and Aurelia Tamò-Larrieux, "Data Ownership and Data Access Rights: Meaningful Tools for Promoting the European Digital Single Market?," ed. Mira Burri, Cambridge University Press (Cambridge: Cambridge University Press, 2021), <https://www.cambridge.org/core/books/big-data-and-global-trade-law/data-ownership-and-data-access-rights/BC314C63C58A09C4B9C5D55894FE68C6>.

¹⁵ Federico Fabbrini and Edoardo Celeste, "The Right to Be Forgotten in the Digital Age: The Challenges of Data Protection beyond Borders," *German Law Journal* 21, no. S1 (March 2020): 55–65, <https://doi.org/10.1017/glj.2020.14>.

jurisdictions. Its emergence underscores the importance of empowering individuals to exert greater control over their personal data and highlights the ongoing evolution of data protection frameworks in response to the challenges posed by the digital age. The GDPR has a wider reach, bringing data protection into the information age and reflects certain tenets of the right to be forgotten. This is seen in Article 17, allowing for data subjects to have personal data erased and forgotten and ceasing dissemination of data except where public or official authority is involved. This has led to a climate of fear where the value of online information is becoming increasingly volatile. An exemplary effectiveness of this legislation is the case of NT1 and NT2 v Google¹⁶, where the claimants succeeded in removing search results that revealed spent convictions, both having been granted an order for misuse of process. The GDPR has also attempted to reconcile the regulation of data and competition, making a clear link between the aforementioned erasure of data and freedom of speech and information through restricting this right to where such personal data is no longer necessary for the purposes for which it was collected or otherwise processed.

2.6 Data Breaches and Cybersecurity

Data breaches pose a significant threat both in Kenya and globally as businesses and government entities increasingly digitize their operations. In Kenya, the risk of data breaches is particularly concerning, as evidenced by incidents such as the Safaricom data breach¹⁷. This breach, affecting one of Kenya's largest telecommunications companies, underscored the vulnerabilities in the country's digital infrastructure and the urgent need for robust cybersecurity measures. Globally, high-profile incidents like the Equifax and Marriott breaches have underscored the pervasive vulnerability to cyber threats¹⁸. These breaches, affecting millions of individuals worldwide, highlight the need for robust cybersecurity infrastructure and practices across industries. The evolving sophistication of cyberattacks necessitates continuous investment in cybersecurity to safeguard sensitive information and mitigate risks to individuals' privacy and security. In both local and global contexts, addressing data breaches requires proactive measures such as implementing encryption protocols, conducting regular security audits, and providing cybersecurity training for employees. Additionally, collaboration between public and private sectors is crucial to sharing threat intelligence and developing coordinated responses to cyber threats. Only through comprehensive cybersecurity strategies can organizations and nations effectively protect against the growing menace of data breaches and cyberattacks.

¹⁶ “NT1 and NT2 v. Google LLC,” Global Freedom of Expression, n.d., <https://globalfreedomofexpression.columbia.edu/cases/nt1-nt2-v-google-llc/>.

¹⁷ “Safaricom Data Breach Affects 11.5M Customers,” n.d., <https://iapp.org/news/a/safaricom-data-breach-affected-11-5m-customers/>.

¹⁸ “Understanding the Impact of Data Breaches on Trust,” FasterCapital, accessed March 30, 2024, <https://fastercapital.com/topics/understanding-the-impact-of-data-breaches-on-trust.html>.

2.7 Emerging Technologies, Cloud Storage and Data Protection

Emerging technologies are revolutionizing how data is collected, processed, and utilized, presenting both opportunities and challenges for data protection efforts. In Kenya and globally, the adoption of technologies like artificial intelligence (AI), Internet of Things (IoT), and blockchain is reshaping the data landscape, prompting discussions and actions to safeguard individuals' privacy and rights¹⁹. Cloud storage presents a double-edged sword for data protection. While its convenience and scalability are undeniable, it introduces new conceptual challenges. One major concern is the location of data. Data protection regulations often differ by country, and storing data in a jurisdiction with weaker privacy laws could leave it vulnerable. Additionally, dependence on a specific cloud provider can restrict user control and data portability. Furthermore, security breaches within cloud storage systems can have far-reaching consequences due to the vast amount of data concentrated in one place. Addressing these issues requires collaboration between cloud providers, regulators, and users to establish clear data residency rules, robust encryption practices, and standardized protocols for data portability, ensuring the benefits of cloud storage are harnessed without compromising data protection.

In Kenya, the advent of AI and biometrics introduces novel complexities to data protection. Notably, the recent controversy surrounding the Worldcoin initiative illustrates the potential risks associated with biometric data collection. Worldcoin, a cryptocurrency project, sparked concerns when it proposed using biometric identification to distribute digital currency to Kenyan citizens. The collection of sensitive biometric data raised alarm among privacy advocates and citizens, highlighting the need for stringent regulations and oversight to prevent unauthorized use and exploitation of personal information. Moreover, the reliance on cloud storage for storing biometric data underscores the importance of robust cybersecurity measures to safeguard against data breaches and unauthorized access. Globally, the rapid proliferation of AI, IoT, and blockchain technologies presents multifaceted challenges for data protection. The use of AI algorithms in decision-making processes across various sectors amplifies concerns regarding transparency, accountability, and fairness. IoT devices, interconnected and constantly collecting data, amplify the risk of unauthorized access and misuse, demanding heightened security measures and privacy safeguards. Furthermore, the decentralized nature of blockchain technology complicates traditional notions of data ownership and control, necessitating innovative approaches to ensure data protection while harnessing the potential benefits of distributed ledger systems. As emerging technologies continue to reshape the data landscape in Kenya and globally, safeguarding data protection becomes increasingly imperative. It requires proactive measures from governments, regulatory

bodies, industry stakeholders, and civil society to address the inherent risks and uphold individuals' rights in the digital age. Striking a balance between innovation and regulation is essential to harness the transformative potential of emerging technologies while mitigating the associated risks to data privacy and security. The case of Worldcoin²⁰ in Kenya serves as a reminder of the importance of robust data protection frameworks and vigilant oversight in the face of evolving technological advancements.

All these emergent issues highlight the ever evolving field of data and open discussions for more considerations in measures that regulate the collection, processing, storage and dissemination of data.

Chapter Three: Existing Data Protection Regime in Kenya

²⁰ “Case Commentary on Worldcoin in Kenya - Centre for Intellectual Property and Information Technology Law,” November 29, 2023, <https://cipit.strathmore.edu/case-commentary-on-worldcoin-in-kenya/>.

3.1 Introduction

Data, particularly in this age of the digital space, from the internet and other computerized frameworks, for example, mobile phones, is more and more significant. In this area, we will have a look at the existing data regime in Kenya, predominantly the legal framework and the different sectors of the economy and governance frameworks in Kenya. A data regime refers to a system or a structure of rules that a country puts in place in order to regulate the collection, storage, use, and dissemination of the kind of information that is collected in the country.

A data regime motivates and promotes innovation in solving social or business issues. As a matter of fact, a data regime not only creates benefits by improving data management practices but also helps innovation both in terms of technology and service through the effective use of information. The effectiveness of a data regime is important to the national security, economic, and social well-being of the country, particularly in the modern day when all these aspects rely heavily on IT and the ability to manage information. First, a good data regime can help protect important information from unauthorized access and inaccuracies. By identifying and locating essential information, critical activities, services, or public safety can be sustained in the event of an emergency or disaster. Second, a data regime is important when it comes to the global competitiveness of a country.

The nation's economic vitality in today's world is interconnected and indivisible. It relies on the seamless operation of the internet and the secure flow of information, which means a strong data regime can protect information and data in an ever-growing inter-network environment.

3.2 Historical Development of Data Protection Laws in Kenya

In an era of rapid technological advancement and the increasing use of technology in areas such as biometric and genetic data, it becomes important to ensure that individuals' right to privacy is safeguarded and promoted. Working in data protection, recognizing this important role that data protection plays in societal transformation and realizing the full potential of information communication technology, the government has shown commitment to the establishment of a legal and regulatory framework on data protection. The government has also enacted laws to help protect and address misuses of personal data in Kenya and also to give effect to article 31(c) and (d) of the Constitution. The Constitution of Kenya under article 31 provides for the right to privacy, which includes the right not to have a person's home or property searched, address or the privacy of a person's communication to be violated, and the privacy of a person's family and relieving the privacy of a person in a manner that may infringe the privacy of the person, provided in the case of land, security of tenure does not protect the interest of a person. The article then provides for an exception to the right to privacy, which is

found under article 31(2)(b) with respect to privacy in the context of national security. Such rights provide a contributory role to good governance by ensuring that personal information and data are protected and used only ethically and in accordance with the best practices and the laws. The development of laws relating to data protection and privacy will no doubt lead to progress and efficiency.

Preceding global digitization, most data was handled domestically by national institutions and individuals. In Kenya service providers such as healthcare systems, commercial institutions and financial institutions collected data from citizens for various reasons such as loan processing, national identification and history protocols. Herein, the jurisdictional regulations sufficiently regulated data flow within the country; where a major factor was to ensure a data subject is fully aware that their data is collected with the particular institution, the type of data collected and the reason for the collection of that data. The framework was quite straightforward as there were few factors to consider in defining the process. This framework was a piecemeal from different sectoral laws such as the Banking Act, the Kenyan Constitution and the Kenya Information and Communications Act, 1998 among other relevant provisions²¹. These provisions however did not prioritize data privacy sufficiently and was not comprehensive enough to the growing digital accruments. As the digital landscape continued to evolve and more technologies began to emerge, there was a need to revisit the existing provisions and to cater to the rising demands of privacy; which led to the adaptation of the Data Protection Act of Kenya in November 2019 and has since been the blueprint of data protection in the country²².

The enactment of the Data Protection Act, 2019 is a milestone in the history of data protection in Kenya, which has been widely celebrated. It provides a legal and institutional framework which is responsive to the fast evolving data protection regime globally. It also harmonizes various sectoral laws and provides impetus to e-governance and e-commerce. With the current global trend whereby various countries have established or are still in the process of establishing data protection laws, the Act aligns Kenya with international best practices and standards.

The process of developing the new law commenced in 2006. The taskforce to draft the Data Protection Bill was established in 2014. In 2016, the Data Protection Bill was sent to the National Assembly. However, the Bill was enacted in November, 2019 and has not yet come into force. The provisions of the Act are much more progressive as compared to the existing sectoral laws. The Act establishes the office of the Data Protection Commissioner and sets out the powers and functions of the Commissioner. It also provides for the rights of data subjects

²¹ “Comparing Privacy Laws,” accessed February 15, 2024, https://www.dataguidance.com/sites/default/files/gdpr_v.kenya.pdf.

²² “D a T a P R O T E c T I O N I N K E N Y a HOW IS THIS RIGHT PROTECTED?,” n.d., <https://www.accessnow.org/wp-content/uploads/2021/10/Data-Protection-in-Kenya.pdf>.

and regulation of data controllers and data processors. The Act further has provision for transfer of personal data outside Kenya.

Over the years, various sectoral laws were enacted and included provisions on protection of personal data. For instance, the Registration of Persons Act provided for protection of personal data collected during the registration process. However, these provisions were not comprehensive or harmonized and did not establish an independent office for data protection. This led to the recognition that there was a need for a comprehensive data protection law. Cybersecurity and protection of intellectual property were identified as key emerging areas that required new law.

Data protection in Kenya has been a part of the country's legislation for a long time. The right to privacy is enshrined in the Constitution under Article 31. This provides that every person has a right to privacy, which includes the right not to have their person, home or property searched, their possessions seized, information relating to their family or private affairs unnecessarily required or revealed, or the privacy of their communications infringed. It also includes the right, at home, to privacy of the family and their property.

The emerging importance of data protection in Kenya has been ignited and expanded by the tremendous technological evolution which the common Mwananchi is coming to align with and embrace. In the recent past, computer and computer-related cases and incidents have been on the rise, with a good example being the Computer Misuse Act. The Computer Misuse Act outlaws unauthorized access, unauthorized disclosure, and unauthorized interception of data. The Act provides for hefty fines and a prison term for anybody found guilty of violating the provisions of that Act. However, the presence of a written law is just one step towards understanding the dynamism that revolves around the storage and processing of data and information. A person accused of a computer-related crime may be acquitted on a mere technicality or on the premise that the given action is not specifically mentioned as an offense in the Computer Misuse Act, yet the action is actually a violation of the right to privacy of an individual. This is therefore an indication that data protection is of much priority in Kenya due to the vast opportunities that come with it in this era of information.

The central provisions of the data protection legislation in Kenya include the following: Providing for the rights and fundamental freedoms of data subjects and the need to protect personal data, setting out the conditions that must be met for the processing of personal data, providing for the registration of data controllers and the regulation of the data protection regime, providing for the establishment and functions of the office of the data protection commissioner, setting out measures for safeguarding the rights of data subjects, providing for the rights of persons in respect of electronic health records and connected purposes, providing for the enjoyment of the rights and fundamental freedoms of data subjects guaranteed under the Constitution and under international law and generally for connected purposes.

This piece of legislation acknowledges the rights of electronic health records subject to confidentiality and gives persons in charge of electronic health records the obligation to protect the privacy of such records. It also takes notice of the existing sectoral laws particularly the protection of privacy and confidentiality of personal health records.

Part of the efforts to achieve adequacy in the level of data protection was through the enactment of comprehensive data protection legislation and given the realization of the transformative nature of information and communication technology in the processing of personal data. The cabinet Secretary for Information, Communication and Technology was mandated by the Data Protection Act to develop a comprehensive legal framework for data protection in Kenya. Subsequently, the Data Protection Bill was published. At this point, the progress to enact the Data Protection Bill has been quite detailed.

Notwithstanding this constitutional guarantee for the right to privacy, from 2010 various stakeholders called for a comprehensive data protection legislation to provide the necessary legal framework for the protection of personal data. In particular, the European Union stressed the importance of ensuring an adequate level of data protection in line with international law by the Kenyan government during the negotiation process for the Economic Partnership Agreement between Kenya and the European Union. This is a treaty providing for duty free and quota free market access for goods originating from the East African Community member states into the European Union, in return for the gradual opening up of the market for European Union goods into the East African Community.

The current regime for the protection of data privacy in Kenya is the Data Protection Act, which was signed into law in November 2019. This comes after a 15-year long journey to enact comprehensive data protection legislation in Kenya. The journey dates back to the constitutional making process where for the first time, a specific constitutional right to privacy was guaranteed under the Bill of Rights in the Constitution of Kenya. This provision was envisaged under Article 31 which states that every person has a right to privacy which includes the right not to have their person, home or property searched, their possessions seized, information relating to their family or private affairs unnecessarily required or revealed or the privacy of their communications infringed.

3.3 The Current Data Protection Regime in Kenya

The data regime that is in Kenya plays a critical role in the sense that it ensures that the big data technologies in place effectively eliminate fraud-related activities and that there is transparency and proper record keeping in such a formalized environment.

The following is the legal framework of data protection in Kenya:

1. The Constitution of Kenya 2010

Enshrined in the constitution of Kenya 2010 are different provisions geared towards protection of data.

1.1 Article 31

This article clearly states that everyone has a right to privacy which includes: Right for their communication not to be infringed and the right for their private information which includes information concerning their family's or their relatives revealed.

1.2 Article 33

Concerning data, the article states that every person has the freedom to seek, receive and impart data. It also states that every person has the right to artistic creativity. By providing for the freedom of expression, this articles safeguards the privacy rights of the sources of information especially the media.

1.3 Article 35

Article 35 of the Kenyan Constitution 2010 provides that every person has the right to access information held by the state, or information held by any person that is relevant towards the exercise of any right or fundamental freedom. This provision protects data by allowing access by individuals to any information held by public entities

While these provisions don't directly use the term data protection, they give a basis for the enactment of different legislation such as the Data Protection Act 2019. They also provide a framework that protects personal data protection and privacy rights.

2. The Data Protection Act 2019

This act came into force on 19th November 2019. This in act of parliament that was enacted to give effect to Article 31 of the Kenyan Constitution by establishing the office of the Commissioner to make regulation for the processing of personal data. Data protection entails the act of safeguarding personal information in accordance with the principles laid out by the law.

This act is a response to technological advancement which has led to the increase in production and dissemination of information.

The Data Protection Act 2019 provides for the definition of data as information that is processed by an equipment whilst under instructions, recorded with the intention that it should be processed by such an equipment, information that is part of a filing system; information held by a public entity.

The purpose of the Data Protection Act 2019 is to: regulate the processing of personal data, to protect the privacy of personal information, establishing a legal mechanism for the protection of personal data and to provide data subjects with rights and remedies against processing of any information that is not provided for by the act.

The Data Protection Act 2019 provides for the establishment of the office of a Data Commissioner whose functions include:

- i) Oversee the implementation of the act
- ii) Establish and maintain register of data controllers and data processors
- iii) Exercising oversight of data processing operations.
- iv) Conducting assessment on private and public entities on whether information is processed according to the act.
- v) Receive and investigate complaints on any infringements of the act
- vi) Promote international cooperation on matters concerning data protection

The Data Protection Act provides for the rights of data subjects, which include:

- i) Right to be informed of the use of their personal data
- ii) Right to access data in possession of a data controller
- iii) Right to object the use of part or all of their personal data
- iv) Right to correction of misleading information
- v) Right to deletion of misleading information about them.

The Data Protection Act 2019 provides for a lawful collection of personal data, a lawful processing of personal data, it also provides for the processing of sensitive data especially that which relates to a child.

3. The Access to Information Act 2016

This provides for the Constitutional right of access to information which is mainly information to do with public safety or that which involves environmental risk.

It provides for personal information as including: Information relating to gender, sex pregnancy, marital status, ethnicity; color, age, psychological state or mental well being, religion, language and birth of the individual.

That personal information also includes information relating to employment, medical or criminal history. It also involves information to do with financial transactions someone has been involved in.

That personal information also includes any symbol or letter assigned to the individual; fingertips, blood type and personal contacts of an individual.

That personal information also includes personal opinions and any information relating to an award of grant.

This Act provides for the limitations of the right to access information as being:

- i) Any information that undermines public security
- ii) Any information that endangers the health or life of an individual
- iii) Any information that can impede the due process of the law.

- iv) Any information that infringes due process provided by the law.
- v) Any information that affects legal proceedings
- vi) Any information that undermines a public entity's position to give adequate judicious consideration
- vii) Any information that impedes the ability of the Government of Kenya to manage its economy.

This Act provides for the process of accessing information including: the application process. It also provides for the process of addressing complaints in relation to access to information.

4. Competition Act No. 12 of 2010 Act

This is an Act enacted to provide for fair trading practices and protection of the consumer during transactions.

This act provides for:

Kenya's Competition Act No. 12 of 2010 aims to promote and safeguard market competition, prohibit and decrease anti-competitive behavior, and protect consumer welfare. Here are the essential provisions of the Act:

1. The Act outlaws anticompetitive acts by companies or businesses that aim to prevent, restrict, or distort competition in Kenyan markets. This involves price fixing, bid rigging, market allocation, and collaboration to limit output.
2. Abuse of Dominant Position: - The Act forbids companies with a dominant market position from misusing it. Abuse of dominance involves tactics such as predatory pricing, excessive pricing, tying and bundling, refusal to deal.
3. Merger Control: The Competition Authority of Kenya (CAK) reviews mergers and acquisitions to assess their impact on competition in relevant markets, as mandated by the Act. Mergers that are likely to significantly reduce or eliminate competition are forbidden unless they can be justified on public interest grounds.
4. Competition Advocacy: The Act allows the CAK to advocate for a competitive business environment. This involves educating firms and consumers about the advantages of competition, campaigning for pro-competitive policies and regulations, and advising government agencies on competition issues.
5. Market Inquiries: - The CAK can investigate and address competition concerns in specific sectors or markets. Market inquiries might be undertaken in response to complaints or marketplaces. Market inquiries may be started in response to stakeholder complaints or concerns, or the CAK may conduct them proactively to analyze the state of competition in certain industry sectors.

6. Consumer Welfare: - The Act highlights the significance of protecting consumer welfare by stimulating competition. It recognises that competition results in reduced pricing, more choices, innovation, and higher quality goods and services, all of which benefit customers.

7. Enforcement and Penalties: The CAK can enforce compliance with the Act through investigations, inspections, and penalties for noncompliance. Fines, orders to cease and desist from illegal action, and, in severe circumstances, criminal consequences are all possible penalties for anti-competitive behavior.

8. The Act includes a leniency programme that offers immunity or reduced fines for parties that participate with CAK investigations and provide information concerning cartel activity.

9. Appeals: The Act allows parties who disagree with CAK rulings to appeal to the Competition Tribunal or the High Court of Kenya for review.

These rules combine to form a comprehensive framework for encouraging competition, prohibiting anti-competitive behavior, and safeguarding consumer welfare in Kenyan markets. The Competition Act is critical for creating a dynamic and competitive corporate climate that encourages innovation, efficiency, and economic progress.

5. The Computer Misuse and Cyber Crimes Act 2018

Kenya's Computer Misuse and Cybercrimes Act, 2018, is intended to combat a variety of cybercrimes and computer system misuse. Here are the main provisions of the Act:

1. Offenses for Unauthorized Access: - The Act forbids unauthorized access to computer systems, networks, and data. It criminalizes crimes such as hacking, unauthorized data interception, and unauthorized computer system access with the purpose to commit an offense.

2. Unauthorized Disclosure of Passwords or Access Codes:** - It is illegal to knowingly reveal passwords, access codes, or other confidential information that allows unauthorized access to computer systems or data.

3. Cyber Espionage: The Act outlaws unauthorized interception of data or communication via computer systems, networks, or electronic devices.

It makes illegal actions like intercepting electronic communications, monitoring computer systems without authorization, and electronic espionage.

4. Cyber Fraud and Forgery: - Identity theft, phishing, and other online deceptions intended to obtain financial or personal information fraudulently are also considered crimes under the Act.

5. Cyber Terrorism: - Using computer networks or systems to carry out terrorist acts or spread terrorist propaganda is illegal. The Act imposes sanctions on persons or organizations that advocate terrorism online or engage in cyberterrorism.

6. Publication of False Information: - The Act forbids the dissemination of untrue information, rumors, or propaganda via internet platforms or computer systems in an effort to incite panic attacks, public disturbances, or terror.

7. Online Child Exploitation and Child Pornography: - The creation, dissemination, acquisition, and use of child pornography via electronic devices or computer systems are all prohibited by the Act. It also discusses the sexual exploitation of minors and online grooming.

8. Interception of Communication: - The Act governs the use of communications interceptions by law enforcement. It lays forth the steps and safety measures for legally obtaining warrants to intercept electronic communications.

9. Search and Seizure of Computer Systems: - In order to look into cybercrimes and obtain evidence, the Act permits the search and seizure of computer systems, electronics, and data storage devices.

10. International Cooperation: - In the fight against cybercrimes, the Act promotes mutual legal assistance and international cooperation.

6. Regulations and guidelines developed:

i) The Data Protection (Registration of Data Controllers & Data Processors) Regulations, 2021, provide for the registration of data controllers and data processors with the DPC. ii) The Data Protection (Compliance & Enforcement) Regulation, 2021, lays out the complaints handling procedures and enforcement mechanisms in the event of non-compliance with the provisions of the Act.

iii) Data Protection (General) Regulations, 2021 – expounds on the obligations and duties of data controllers and data processors, the rights of data subjects, limitations on the commercial use of personal data, aspects of implementing data protection by design or default, notification of personal data breaches, transfer of personal data outside of Kenya, data protection impact assessment, and other general provisions. The regulations also specify the threshold for mandatory registration.

iv) Guidance Note on Registration of Data Controllers and Data Processors: This note was created to help organizations determine whether they are data controllers or data processors and to comprehend their responsibilities regarding mandatory registration; • v) Guidance Note on Processing Personal Data for Electoral Purposes: This note was created to help organizations that handle the personal information of voters and political party members comprehend their obligations under the Act;

v) Guidance Note on Data Protection Impact Assessment: This note was created to help organizations understand their obligations under the Act and the necessity of conducting a

data protection and impact assessment. The Guidance Note on Consent was created to help data processors and controllers comprehend their responsibilities under the Act.

Chapter Four: Gaps and Challenges Arising from the Existing Legal Regime

Despite the constant amendments, the existing legal regime in Kenya surrounding data protection demonstrates some critical gaps that seek to be addressed. These gaps surround how data is collected, processed, stored and distributed and they include:

4.1 Lack of standardized data collection methods

Section 32(1) of the Data Protection Act, 2019 provides that informed consent forms the basis of data collection from data subjects but bestows on the data controller the burden of proof for consent determination without a specific merit. The lack of standardized data collection methods means that data collection activities are not coordinated and do not follow a uniform and systematic process. This can lead to duplication of efforts, data inconsistencies, and difficulties in monitoring the quality and progress of data collection. There are various ways in which data collection methods in Kenya exhibit lack of standardization²³. Firstly, there is neither a central body nor a lead agency that coordinates and oversees data collection and management activities in the country. As a result, different ministries, departments, and agencies adopt their own systems and procedures for data collection, storage, and reporting. This siloed approach to data collection not only results in efficiency and resource wastage, but also compromises the compatibility and interoperability of different data sets. Secondly, existing data collection, reporting, and monitoring systems and procedures vary greatly across different sectors and entities. For example, the health sector may adopt different data collection and reporting standards and methodologies compared to the education sector. These differences not only complicate efforts for data integration and inter-sectoral data analysis, but also inhibit the government and policymakers to have a holistic and cohesive view of different aspects of human development and well-being. Lastly, there is a lack of proper documentation and standard operating procedures for data collection processes and methods. This means that data collectors may not have clear guidance on how the data should be collected, what are the key variables and indicators, and in what form and format the data should be submitted. As such, it is difficult to ensure the consistency and quality of data collected as well as to facilitate and support data verification and validation activities at a later stage.

4.2 Insufficient and Disunified training for data collectors

According to Section 32 of the Data Protection Act, data controllers and data processors are required to implement appropriate technical and organizational measures to ensure the protection of personal data. They are also required to undergo training to effectively implement data protection principles and integrate necessary safeguards into the processing of personal data. Section 24 then provides the appointment of a trained data protection officer in exceptional circumstances and does not mandate it. This leaves a gap in the professionalism embodied in people collecting data. Given that the members of staff responsible for data collection are not professionally trained, this has resulted in the inconsistency and incompleteness that characterizes the data obtained. At an international

²³ Daniel Wambiri, Johnson Mulongo Masinde, and Frankline Mugambi, “Big Data and Personal Information Privacy in Developing Countries: A Case of Kenya,” *Research Square (Research Square)*, February 21, 2023, <https://doi.org/10.21203/rs.3.rs-2604181/v1>.

level and regional level in data transfer regulation, there is no standard training pertaining to how data is controlled and handled by data processors and controllers²⁴. This presents a real challenge to policy and lawmakers. With the country's constitution placing a constitutional requirement on the government to put in place an effective data storage and retrieval system, there is every possibility that the current gaps and lapses in the data regime in Kenya will attract the attention of the courts.

4.3 Feeble Regulations in Dissemination of Data that is Meant for Research

Section 53 of the Act exempts personal data processed only for research purposes from certain provisions if the data is processed in compliance with relevant conditions and the results of the research or resulting statistics are not made available in a form that identifies the data subject or any of them. The flexibility of transfer of data to other countries for research has far reaching implications to the data economy and susceptible to exploitation of many forms. Additionally, while the identity of such persons is concealed, it still creates room for profiling individuals of a particular country which can attract malicious targeting²⁵.

4.4 Lack of harmonization in legal framework to deal with data protection with the bordering countries

Data protection laws in Africa are still in their early stages of development, and there is no harmonization among them. Some African countries have comprehensive data protection laws, while others have limited laws or none.

Intellectual Property rights are rights given to intangible properties involving inventions and creative expressions. E-Commerce platforms are technological inventions and the creator's intellectual property should be protected as those of patents. Intellectual property protection is very important for market protection and a competition instrument, to lock out competitors from using technological ingenuity held by the owner.

There are a conflict of laws, in Africa, where some countries still do not protect source code information like algorithms. Some of the essential knowledge wealth of E-Commerce platforms that need protection include source codes and algorithms. The most important component with regards trade secrets and cyber theft is technological transfer. Most of the enabling technology is proprietary making developing countries unable to catch up quickly through adaptive imitative innovations. Most African countries need access to that enabling

²⁴ Citizensinformation.ie, "Controlling and Processing Personal Data," [www.citizensinformation.ie](https://www.citizensinformation.ie/en/government-in-ireland/data-protection/controlling-and-processing-personal-data/), n.d., <https://www.citizensinformation.ie/en/government-in-ireland/data-protection/controlling-and-processing-personal-data/>.

²⁵ Rossana Ducato, "Data Protection, Scientific Research, and the Role of Information," *Computer Law & Security Review* 37 (2020), <https://doi.org/10.1016/j.clsr.2020.105412>.

technological resource but are sometimes limited due to the barriers of intellectual property rights. In these incidences, technological transfer is always made possible through a bargain, where a country will be allowed access to the source code by also opening its market to the investors in question. Market access has always been used in the technology transfer bargains. A report compiled by Bang et al revealed that 90% of African countries needed access to digital intelligence produced by platforms using information provided by private owners.²⁶ Individual African countries however may not necessarily need access to source codes in exchange of market access. Some may need access to source codes in exchange to better regulation such as taxation and competition. To protect African countries from unfair competition in relation to the access to source codes, there needs to be the harmonization of laws on data and privacy protection through the E-Commerce Protocol. Electronic authentication of intellectual property rights should be made easier and reliable to enhance digital trade. AFCTA E-Commerce negotiations protocol is probably the best way around it. Electronic authentication through electronic signatures and digital certification provisions are likely to make digital trade faster, efficient, and more transparent among traders. The area of the recognition of intellectual property rights of traditional knowledge is still a grey area in Africa. Very few countries in Africa recognize the intellectual property rights of traditional knowledge leading to unfair digital trade practices. There has been an unjust regard of the production process and finally the product over the source or maybe even the specific land resource of the product. Intellectual Property Laws are meant to protect the inventor or the holder of such rights for their ingenuity, but some laws that fail to recognize traditional knowledge and instead prioritize big corporates and laboratories over the source which is very detrimental. In South Africa for instance, a case of a local herb which was capitalized on by big corporates denied an indigenous tribe protection from a denial of intellectual property in Kenya. Most multinational companies will take an indigenous product and ship it around the world, yet the original creators do not enjoy any recognition or a dime from the hefty profits made through their ingenuity. This was also a case in Kenya. The Agreement on Trade Related Aspects to Intellectual Property Rights (TRIPS) unfortunately condones this practice with its failure of the recognition of intellectual property rights. There should be a harmonization of legal framework in African countries, in relation to the recognition of traditional property. Intellectual Property Rights should protect the source, not just the final product.

Some cases in Africa indicate just how intellectual property law is not fully developed in Africa. An example is the case of:

Kenyan High Court. MCSK v Music Publishers Association of Kenya & another [2020] eKLR.²⁷

The respondent in this matter is a copyright board mandated with the task of distributing royalties to the authors of audio-visual work. The applicants argued that the collection and the disbursement of royalties was not in accordance with the gazetted tariffs, which is considered illegal. The Kenyan High Court declared the country's copyright collecting society, Music Copyright Society of Kenya (MCSK), as an illegal entity. The court ruled that MCSK had

²⁶ Work Programme on Electronic Commerce, Non-Paper from the United States (JOB/GC/94

²⁷ Kenyan High Court. MCSK v Music Publishers Association of Kenya & another [2020] eKLR.

violated the country's competition laws and had not distributed royalties fairly to artists. This case highlights the need for strong IP laws and the importance of fair competition in the digital economy.

The African Union Convention on Cybersecurity and Personal Data Protection (Malabo Convention) aims to provide a framework for data protection across Africa.²⁸ However, only a few countries have ratified this convention, and its implementation is still in progress. Africa could easily have a common policy through the ratification of the African Union Convention on Cyber Security and Personal Data Protection. It is however unfortunate that only 14 countries have so far ratified the convention.²⁹ It would be very easy for African Union to require its state parties to ratify the convention for longevity. Data Protection and Privacy is one of the major concerns in digital trade facilitation in Africa. The ECOWAS regional data protection and privacy is perhaps one of the major breakthroughs in data and privacy protection policy making in Africa.

In Kenya for instance, the Data Protection Act was enacted in 2019 for data protection and privacy. Alongside Kenya, 15; other countries have enacted the Data Protection Act. This includes countries like Mauritania, Madagascar, Togo, Uganda, Niger, and Egypt. Many countries in Africa have not yet enacted the Data Protection Act in their domestic laws. There are differences in the enforcement of the Act, with some countries doing well in the implementation level, while other countries that already have the act lagging. In Ghana, fines are issued for instances of non-compliance, while in Nigeria, no notice is given for breaches. Africa has yet to develop a unified policy on data protection without a doubt.

Cross-Border data laws prohibit sharing data across borders. Some countries have outright bans on sharing of data across borders. Some other countries require the consent of users before any transfer is made. While others require data to be processed locally or stored locally. Most of these restrictions increase compliance costs on cross-border E-Commerce trade. Only few countries have data restriction laws, Nigeria has an established data localization law, In South Africa, sharing data to third parties in a foreign country is only allowed under specific conditions. In Kenya, Section 48 of the Kenyan Data Protection Act only allows cross border transfer of data when: "The data controller or data processor has given proof to the Data Commissioner on the appropriate safeguards with respect to the security and protection of the personal data."³⁰

In Ethiopia, digital identification has taken a notch higher with the use of biometrics for identification, as a means of hastening digital trade by ensuring easy access to digital resources. However, there is a notable significant lack of comprehensive legislation on data protection and privacy.

²⁸ African Union. Convention on Cybersecurity and Personal Data Protection, 2014.

²⁹ Data Privacy and Protection Guide
<https://www.fsdkenya.org/research-and-publications/data-privacy-and-protection-guidance-note-to-kenyas-digital-financial-services-report/>

³⁰ Data Protection Act

Regional blocs have been essential in coming up with data protection and privacy policies, with blocs like ECOWAS, EAC and SADC. In the harmonization of data privacy and protection, regional blocs will be very useful. There is a disparity in the various regional blocs policies on data and privacy protection, as ECOWAS seems to be the only one in the region with a binding aspect attached to it.

South African Constitutional Court. 2020³¹

The South African Constitutional Court declared the country's surveillance law, the Regulation of Interception of Communications and Provision of Communication-Related Information Act (RICA), unconstitutional. The court ruled that the law does not provide adequate safeguards for the protection of personal information, thus violating the right to privacy. This case highlights the need for strong data protection laws in Africa.

Chapter Five: Comparative Analysis/Overview of Global Based Practices

5.1 Cross-Border Transfer of Personal Data

EU GDPR

Under the General Data Protection Regulation (GDPR), the transfer of personal data to countries outside the European Economic Area (EEA) is subject to specific mechanisms to ensure the protection of individuals' data privacy rights. Adequacy Decisions, outlined in Article 45 of the GDPR, permit transfers to countries recognized as providing "an adequate

³¹ South African Constitutional Court. 2020 (1) SA 1 (CC)

level of protection" for personal data. The European Commission maintains a list of such countries. In cases where adequacy decisions are absent, transfers can occur based on Appropriate Safeguards, as detailed in Articles 46.2 and 47. These safeguards include Standard Data Protection Clauses approved by the Commission, Binding Corporate Rules established within multinational corporations, Codes of Conduct approved by supervisory authorities, and contractual clauses endorsed by such authorities. These mechanisms are vital for maintaining the integrity and security of personal data transferred beyond the borders of the EEA, ensuring compliance with GDPR standards and safeguarding individuals' privacy rights.

Alternative Processing for Countries that do not have Adequate Frameworks(GDPR)

Article 46(1): In the absence of a decision pursuant to Article 45(3), a controller or processor may transfer personal data to a third country or an international organization only if the controller or processor has provided appropriate safeguards, and on condition that enforceable data subject rights and effective legal remedies for data subjects are available. (2) The appropriate safeguards referred to in paragraph 1 may be provided for, without requiring any specific authorisation from a supervisory authority, by: (a) a legally binding and enforceable instrument between public authorities or bodies; (b) binding corporate rules in accordance with Article 47; (c) standard data protection clauses adopted by the Commission in accordance with the examination procedure referred to in Article 93(2); (d) standard data protection clauses adopted by a supervisory authority and approved by the Commission pursuant to the examination procedure referred to in Article 93(2); (e) an approved code of conduct pursuant to Article 40 together with binding and enforceable commitments of the controller or processor in the third country to apply the appropriate safeguards, including as regards data subjects' rights; or (f) an approved certification mechanism pursuant to Article 42 together with binding and enforceable commitments of the controller or processor in the third country to apply the appropriate safeguards, including as regards data subjects' rights. (3) Subject to the authorisation from the competent supervisory authority, the appropriate safeguards referred to in paragraph 1 may also be provided for, in particular, by: (a) contractual clauses between the controller or processor and the controller, processor or the recipient of the personal data in the third country or international organization; or (b) provisions to be inserted into administrative arrangements between public authorities or bodies which include enforceable and effective data subject rights.

Kenya Data Protection Act

Under the Kenyan data protection law, specifically outlined in Section 48, there is a general rule prohibiting the transfer of personal data outside of Kenya unless specific conditions are met. These conditions include exceptions such as transferring data to a country with "adequate levels of protection" similar to Kenya, as stated in Section 48(1)(a). Unlike some other regulations, the Act does not provide a list of approved countries for this purpose, leaving the assessment of adequacy to the data controller. Additionally, transfers may occur with the approval of the Data Commissioner, provided "appropriate safeguards" are in place to protect the data, according to Section 48(1)(b). However, the Act does not specify the exact safeguards, allowing room for interpretation. Other exceptions include transfers based on the

explicit consent of the data subject, as per Section 48(1)(c), and transfers for compelling legitimate interests that do not override the rights of the data subject, outlined in Section 48(1)(d). It's worth noting that this exception offers less clarity compared to the framework provided by the GDPR. Furthermore, the Act imposes stricter limitations on the transfer of sensitive personal data, as defined within the Act, outside of Kenya, as detailed in Section 49.

5.2 Data Localization

EU GDPR

The GDPR prioritizes the overall protection of personal data wherever it's located (Article 4). It does not mandate data localization within the EU or EEA. Organizations can store and process data outside these regions as long as they comply with the regulation's data protection principles and transfer mechanisms (Chapter V).

Kenya Data Protection Act

Section 50 of the DPA empowers the Cabinet Secretary, through regulations, to designate specific types of personal data processing that must be conducted through servers and data centers located in Kenya. These requirements could potentially impact international software applications like Facebook, especially if they handle "strategic interests of the state" or data deemed crucial for "protection of revenue."

5.3 Data Collection

EU GDPR

Article 13(1) and (2) of the GDPR provides requirements for informing data subjects at the time of data collection. This includes providing information about the identity and contact details of the controller, the purposes of processing, the legal basis for processing, the recipients or categories of recipients of the personal data, and the rights of the data subject. Additionally, the GDPR specifies that the information provided to the data subject should be concise, transparent, intelligible, and easily accessible, using clear and plain language. It also emphasizes the need for informing the data subject of their right to withdraw consent at any time. Furthermore, the GDPR outlines the right of the data subject to access their personal data and the right to lodge a complaint with a supervisory authority.

Kenya Data Protection Act

Section 28 of the Data Protection Act provides regulations regarding data collection. Before collecting personal data, the data controller or processor must inform the data subject about the rights of the data subject, the purpose of data collection, the third parties involved, the security measures taken, and the consequences of not providing the requested data. Additionally, the Act requires that the data subject be informed about the period for which the personal data will be stored or, if not possible, the criteria used to determine that period.

5.4 Data Storage

EU GDPR

The General Data Protection Regulation (GDPR) imposes new data management requirements for businesses that handle data of EU citizens, regardless of the business location. Key points for compliance include: storing EU citizen data within the EU (with exceptions), ensuring fast retrieval, modification, and deletion of user data upon request, and implementing strong data security measures like encryption to prevent breaches. GDPR-compliant cloud storage providers are available, and backup solutions should offer features like flexible storage location control and data encryption to facilitate compliance³².

Kenya Data Protection Act

The DPA provides for storage of data with informed consent from the user on the timeframe of storage but does not issue a specific storage duration for different types of data. This leaves a legal gap in assessment as the discretion is left on the data controllers and processors who do not have clear guidelines to observe this in effect of escaping data exploitation and misuse and any possible accruing issues such as data leaks. Additionally, the act is silent on protocols for determining safe storage mechanisms such as must haves for cloud storage thereby rendering different offices inconsistent with their storage choices and therefore a threat to the safety of user data³³. Under the Kenya Data Protection Act, data localization is required in instances where personal data is processed for the purpose of actualizing a public good set out under Section 50(2) of the Act. This includes administering a national civil registration system, operating a population register and identity management system, managing personal data to facilitate access to primary and secondary education, and conducting elections in the country. In these cases, the processing of personal data must be effected through a server and data center located in Kenya, and at least one serving copy of the concerned personal data must be stored in a data center located in Kenya.

Chapter Six: Reforms and Recommendations

Based on insights from the research the Data Protection Regulatory framework with regard to how data is transferred across the border seeks intervention on the lack of a structure for data collection to ensure data controllers across countries are observing the structure; the lack of an adequacy framework to specifically determine what countries should have access to data from Kenya, stringent regulations that surround data transfer for research purposes to prevent data

³² Denis G, “GDPR and Data Storage Compliance,” February 2, 2018, <https://www.msp360.com/resources/blog/gdpr-and-data-storage/#:~:text=Under%20GDPR%2C%20you%20should%20take>.

³³ ICO, “Principle (E): Storage Limitation,” ico.org.uk, May 19, 2023, <https://ico.org.uk/for-organisations/uk-gdpr-guidance-and-resources/data-protection-principles/a-guide-to-the-data-protection-principles/the-principles/storage-limitation/>.

exploitation, a mandatory enforcement of data protection officers for every data controller body to ensure efficiency.

1. Sustain Jurisdictional Laws in Data Protection for Kenyan Data Subjects

Instead of assessing adequacy depending on the jurisdiction, the data protection regulation regime should be amended to have concrete national laws that will apply to every country seeking to access and use data of data subjects in Kenya. This can be done through the recommendations below.

2. Adopt Inter-party Extended Agreements and Submit Verification Documents to Determine Transfer to Countries with Inadequate Frameworks

To solve adequacy problems in the Data Protection Act, the act can be improved to list already established adequate countries and borrow the criteria of disseminating data to inadequate countries from the GDPR i.e

- ❖ Through adopting a dedicated examination procedure system to validate and constantly improve standard data protection clauses
 - ❖ Utilize an approved certification mechanism, along with binding and enforceable commitments of the controller or processor to apply the appropriate safeguards, including data subjects' rights.
 - ❖ Implement contractual clauses between the controller or processor and the recipient of the personal data in countries that are inadequate instead of blanket-obstructing the transfer to these countries.
3. Ensuring every data controller and processor undergoes a training and licensing program, without which the organization dealing with the data must hire a data protection officer as substitute³⁴.
4. Structure a comprehensive storage framework that specifies the lengths of storage for the different types of personal data instead of providing a criteria to the data subject³⁵
- ❖ Data Classification: Classify personal data based on sensitivity (e.g., high-risk data like financial information, low-risk data like website browsing history).
 - ❖ Legal and Regulatory Requirements: Identify any legal or regulatory requirements for data retention (e.g., tax regulations mandating storage of financial data for a specific period).

³⁴

https://cyber.gov.rw/fileadmin/user_upload/NCSA/Documents/Guide_on_Registration_of_Data_Controller_and_Data_Processor_.pdf

³⁵ “What Is Data Classification? A Guide to Levels & Compliance,” Linford & Company LLP, May 19, 2021, <https://linfordco.com/blog/what-is-data-classification-levels-compliance/>.

- ❖ Business Needs: Pre-assess legitimate business needs for data retention e.g., customer service inquiries, product development and set ranges for storage.
- ❖ Define Retention Periods: Set specific data retention periods for different data types based on the classification, legal needs, and business justification in consideration of high-risk data and low risk data³⁶.

Incorporating a storage assessment and regulatory framework for data is crucial to sustain the protection of data from potential breaches and misuse and having a clear framework will help to guide regulatory and implementation activities accordingly.

5. Adopt a mechanism for regulation of data transfer for research purposes to avoid data exploitation and provide a sustainable data economy

This can be done through a data Governance Framework³⁷, i.e;

- ❖ Centralized Data Governance Body: Establish a central body responsible for overseeing data transfers for research purposes. This body could be a government agency or an independent non-profit organization.
- ❖ Data Classification System: Implement a system for classifying data based on sensitivity (e.g., high-risk data like health information, low-risk data like anonymized website behavior).
- ❖ Clear Access Protocols: Define clear protocols outlining the process for researchers to access data. This might involve:
- ❖ Research Project Approval: Researchers submitting proposals outlining the purpose of the research, data types needed, and risk mitigation strategies.
- ❖ Data Use Agreements: Establishing contracts between data providers and researchers, specifying data usage limitations, anonymization requirements, and data destruction timelines.
- ❖ Data Access Committees: Implementing committees with experts to review research proposals and ensure responsible data use.

Having a governance structure will help to ensure research data is used for the right purpose, issued to the right people and used in a way that will not infringe data subjects and in a way that will improve the nation's data economy.

³⁶ Erika McCallister, Tim Grance, and Karen Scarfone, “Special Publication 800-122 Guide to Protecting the Confidentiality of Personally Identifiable Information (PII) Recommendations of the National Institute of Standards and Technology,” April 2010, <https://nvlpubs.nist.gov/nistpubs/Legacy/SP/nistspecialpublication800-122.pdf>.

³⁷ Craig Stedman, “What Is Data Governance and Why Does It Matter?,” SearchDataManagement, May 2022, <https://www.techtarget.com/searchdatamanagement/definition/data-governance>.

Chapter Seven: Conclusion

The inevitability of the transfer of data forms a major need to ensure there are necessary safeguards to avoid exploitation and misuse in cross border data flows. While data protection laws have evolved overtime, they have yet to be effective with consideration to new developments and jurisdictional sovereignty to protect data from their subjects. The failure to

have a concrete framework forms major challenges in harmonized data collection, storage, processing and distribution to influence the framework for international data transfers. This paper proposes the adoption of the GDPR framework where countries that have already been evaluated are listed and those that are not are evaluated based on a framework that relies on contractual agreements between the parties involved, certification processes and issuance of documents for verification of reliable protection for any provided pieces of data. Aside from embodying the GDPR framework in assessing adequacy, the framework for determining safe storage mechanisms should be explicitly laid out and blanket countries that have met the criteria already. Furthermore, given the rise in the data economy data for research purposes should not be distributed only on the merit of anonymity but should observe a data governance framework where data protocols are regulated to give access to verified research proposals through a centralized system and with initial precoding to completely obstruct any predictable identity and demographic patterns.

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